SL. NO. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 21-07-2023 AT 10:30 A.M.

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(CAA)/5/230/AMR/2023		230	First object Industries (p)ltd. (demerger company) and first object agency (p)ltd.

ORDER

Mr.V.Venkata Rami Reddy & Mr.M.Parameswara Reddy, Ld. Counsels for the Applicant companies present. Orders pronounced. CA(CAA)/5/230/AMR/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT MANGALAGIRI

CA (CAA)/5/230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
AND
In the matter of Scheme of Arrangement Between M/s. First Object Industries Private Limited (Demerged Company) and M/s. First Object Agency Private Limited (Resulting Company) and their Respective Shareholders.

In the matter of

First Object Industries Private Limited,
Incorporated under the Companies Act, 1956,
Having its registered office at #54-20/9-13, 1st Floor,
Hanuman Residency, Sree Nagar Colony,
Vijayawada, Andhra Pradesh – 520007 India,
Represented by its Director Mr. Yarlagadda Ramaseshagiri Rao.

…1st Applicant/Demerged Company

First Object Agency Private Limited,
Incorporated under the provisions of the Companies Act, 2013,
Having its registered office at H.No.12-468/2/2/107,
My Dream Homes, Mahendraenclave, Kunchanapalli,
Tadepalli, Guntur, Andhra Pradesh – 522501,
Represented by its Director Mr.Chaganti Sagar Chandu Reddy.

…2nd Applicant/Resulting Company

Date of Order Pronounced on: 21.07.2023

Coram:
Justice Telaprolu Rajani, Member Judicial.

For the Applicants : Mr.V.Venkata Rami Reddy &
Mr.M.Parameswara Reddy, Advocates

ORDER
(Per: Justice Telaprolu Rajani, Member Judicial.)

1. The present Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant companies seeking an order to dispense with convening the meetings of the Shareholders, Secured creditors and Unsecured Creditors of both the Applicant Companies, in view of the consent given by them, for sanction of the proposed Scheme of Arrangement.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

   a) M/s. First Object Industries Private Limited, 1st Applicant/ Demerged Company was incorporated as a private limited company on 06.06.2022 and the Authorized share capital of the Demerged Company is Rs.1,00,00,000/- divided into 10,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-

up capital is Rs. 10,00,000/- dived into 1,00,000 fully paid-up equity shares of Rs.10/- each.

b) The main objects of the 1st Applicant Company are to establish and carry on in India or elsewhere the business to acquire, undertake, promote, run, manage, own, lease, convert, build, commercialize, handle, operate, renovate, construct, maintain, improve, exchange, furnish, recondition, hire, let on hire, develop, consolidate, subdivide & organize, hotels, restaurants, café, rest houses, bars, lodging, house keepers, refreshment rooms, swimming pools, lodges, apartments, cottage, licensed victuallers, banquet halls, dressing rooms, laundries, stores libraries, recreation, art galleries, sports entertainments, health clubs, travelling agencies, motor cabs, and to prepare and produce, process, buy, sell, import export, service, wholesale, retail, pack, repack, or otherwise to deal in all kinds of vegetarian foods, non-vegetarian foods, beverages, wines, waters, purveyors, cigarettes, tobacco, soft drinks, ice creams, juices, cosmetics, cloths, provisions, spices, and other allied goods, materials, substances, consumables and preparations connected there to and to undertake design and development of software for computer systems and data communication systems, testing and maintenance, Network management systems, and remote sensing systems and testing and maintenance and business of sponge iron material, Ferro manganese, colliery proprietors, coke manufacturers, mines, smelters, engineers, tin plate makers, iron founders, and all or any kind of iron and steel meltors, steel

makers, steel manufacturers, galvanizers, deepeners, re rollers, enamels, electroplates. And to carry on manufacture, buy, sell, exchange, import, export, distribute and deal in steel and alloy steel, and other allied activities.

c) The financial summary of the 1st Applicant Company as on 01.01.2023 are as follows:

Particulars	**Amount Rs.**
EQUITY AND LIABILITIES:	
Share Capital	10,00,0000
Reserves and Surplus	1,09,58,605.87
Non-Current Liabilities	
Long Term borrowings	8,25,03,113.18
Current Liabilities	
Trade Payables	5,04,95,579.35
Short Term Provisions	6,42,34,026.94
TOTAL	**20,91,91,325.34**
ASSETS	
Non-Current Assets	
Property, Plant and Equipment – Tangible Assets	4,20,91,555.61
Deferred Tax Assets (net)	27,79,545.79
Current Assets	
Trade Receivables	7,91,72,365.00
Cash and Cash Equivalents	61,86,451.44
Short Term Loans and Advances	7,46,33,512.00
Other Current Assets	43,27,895.50
TOTAL	**20,91,91,325.334**

d) M/s. First Object Agency Private Limited, 2nd Applicant/ Resulting Company was incorporated as a private limited company on 02.05.2022 and the Authorized Share Capital of the 2nd Applicant Company is Rs.1,00,000/- divided into 10,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/- dived into 10,000 fully paid-up equity shares of Rs.10/- each.

e) The main objects of the 2nd Applicant Company are to carry on in India or elsewhere the business of security services, security guards, body guards and to provide national level guarding services like event security and allied services, industrial security services, personnel security services, cash escort services, electronic & security surveillance, manned guarding, detective services & facility management and to provide a wide range of training programmes under security related training programmes across India in private & public sectors and providing Manpower placement and recruiting, Selecting, Interviewing, Training and Employing all types of executives, Middle Management Staff, Junior Level Staff, Workers, Labourers Skilled / Unskilled required by various Industries and organizations and business of distributors, traders, consignment agents, importer and exporters of all kind of educational tools, kits, literature, accessories and Activity of Promoting, Imparting, Launching, Creating, Designing, Adopting Traditional, Formal and Creative Means of Imparting, Inculcating, Disseminating, Diversified Skills,

Education Forms and providing raining, Conducting Seminars, Web-Seminars and other allied activities.

f) The financial summary of the 2nd Applicant Company as on 31.12.2022 are as follows:

Particulars	**Amount**
EQUITY AND LIABILITIES:	
Share Capital	1,00,000
Reserves and Surplus	978
Non-Current Liabilities	---
Current Liabilities	---
Current Liabilities	---
TOTAL	**40,25,243**
ASSETS:	
Non-Current Assets	---
Current Assets	
Cash and Cash Equivalents	32,49,243
Short Term Loans and Advances	7,76,000
TOTAL	**40,25,243**

g) The Board of Directors of both the Applicant Companies in their respective Board Meetings held on 19.01.2023 have approved the Scheme of Arrangement with appointed date as 01.01.2023, subject to the approval of their shareholders and creditors. The said Scheme contemplates vesting one of the undertakings of the Demerged Company into Resulting Company and the assets and liabilities of the Demerged Company on the Appointed Date will be vested with Resulting Company.

h) According to the Applicant Companies, the demerged business and remaining business carried on by Demerged Company have significant potential for growth and the nature of risk and competition involved in each of these units are distinct from other and consequently Demerged Business and Remaining Business is capable of attracting a different set of business leaders, employees, investors, strategic partners, lenders and other stakeholders. The Board of Directors of the Demerged Company felt that the Demerged Business and Remaining Business should be bifurcated and should have independent entities for each undertaking. The Business carried out by both the Demerged Company and Resulting Company are relevant and hence the cooperation between both the companies will improve the strategic investment which is going to be helpful to the shareholders of both the Companies and to the investors to overcome any kind of exigencies and to have fruitful and successful business in their fields.

i) The Applicant Companies have given their declaration that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

4. The 1st Applicant/Demerged Company has filed certificate of the Auditor stating that as on 01.04.2023 there are Four (4) Equity shareholders, together holding 1,00,000 equity shares and they have

given their consent on the form of affidavits, agreeing to the proposed scheme.

5. The 1st Applicant /Demerged Company has filed certificate of the Auditor stating that as on 01.04.2023 there are Four (4) Secured Creditors having a debt of Rs.12,92,15,049/- and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

6. The 1st Applicant /Demerged Company has filed certificate of the Auditor stating that as on 01.04.2023 there are Seven (7) Un-secured Creditors, having a debt of Rs.6,89,62,687/- and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

7. The 2nd Applicant/Resulting Company has filed certificate of the Auditor stating that as on 01.04.2023 there are Two (2) Equity shareholders, together holding 10,000 equity shares and they have given their consent on the form of affidavits agreeing to the proposed scheme.

8. The 2nd Applicant/Resulting Company has filed certificate of the Auditor stating that as on 01.04.2023 there are zero (0) Secured Creditors.

9. The 2nd Applicant/Resulting Company has filed certificate of the Auditor stating that as on 01.04.2023 there are Two(2) Unsecured Creditors, having a debt of Rs.39,26,221/- and have given their consent in the form of affidavit agreeing to the proposed Scheme.

10. Heard the Counsels for the Applicant Companies and perused the documents filed.

11. It is noted that all the shareholders of the Applicant Companies have given their consent affidavits, agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Shareholders of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

12. It is noted that Secured Creditors and Unsecured Creditors of the of the 1st Applicant Company, have given their consent affidavits, agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Secured Creditors and Unsecured Creditors of the of the 1st Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

13. It is noted that there are no Secured Creditors in the 2nd Applicant/Resulting Company, hence, the meeting of the Secured Creditors of the 2nd Applicant Company can be dispensed with, in terms of Section 230(9) of the Act

14. It is noted that Unsecured Creditors of the 2nd Applicant/Resulting Company have given their consent affidavits, agreeing to the proposed Scheme of Arrangement. Hence the meeting of the Unsecured Creditors of the 2nd Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

15. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

16. In the event of the Applicant companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the scheme to put forth his/their contention(s) before the Tribunal.

ORDER

The Company Application i.e., CA(CAA)/5/230/AMR/2023 is allowed and disposed of accordingly.

Sd/- Dated 21.07.2023
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu